

MGT 602 SOLVED MATERIAL LECTURE 1 TO 23
COMPOSED AND SOLVED BY ASIF RASOOL
MBA (FINANCE)

Question No: 1

Individuals who help the entrepreneur in business activities are called:

- ▶ Role models
- ▶ Moral support networks
- ▶ **Professional support networks (page 25)**
- ▶ Business support networks

Question No:2

Following are the problems in developing the economies EXCEPT:

- ▶ Gap of knowledge
- ▶ Variable rate of return
- ▶ **Same communication style(Page No. 29)**
- ▶ Different accounting system

Question No:3

Which one the following is the best protection against product liability?

- ▶ Avoid negligence
- ▶ **Warn consumers of any potential hazards (Page No. 52)**
- ▶ Give warranty
- ▶ Avoid misrepresentation

Question No:4

Which one of the following reviews the trends and competitive strategies?

- ▶ **Environmental analysis Page No. 57**
- ▶ Product forecast
- ▶ Contingency plan
- ▶ Industry analysis

Question No:5

A utility patent has a term of:

- ▶ 10 years
- ▶ 40 years
- ▶ **20 years Page No. 46**
- ▶ 80 years

Question No:6

Which of the following body issues patents?

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- ▶ GATT
- ▶ NAFTA
- ▶ FTA
- ▶ **PTO Page No. 46**

Question No:7

Which of the following is a more structured method of problem solving, including principles and rules for concept formation, making observations and experiments, and finally validating the hypothesis?

- ▶ **Scientific method (Page No. 41)**
- ▶ Heuristics
- ▶ Attribute listing
- ▶ Value analysis

Question No:8

Which one of the following gives suggestions for new product and also help to market new products?

- ▶ Existing products and services
- ▶ **Distribution channels (Page No. 38)**
- ▶ Federal government
- ▶ Consumers

Question No:9

GATT is established in 1947, under:

- ▶ German leadership
- ▶ French leadership
- ▶ **U.S. leadership**
- ▶ U.K. leadership

Question No:10

Factors contribute to the creation of new venture EXCEPT:

- ▶ Government
- ▶ Finance
- ▶ **High interest rates**
- ▶ Role models

Question No:11

A foundation company is formed through which of the following?

- ▶ Fashion
- ▶ Most popular business
- ▶ A winding up company
- ▶ **Research and development (Page No. 7)**

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Question No:12

Which one of the following is the primary cause of failure in small businesses?

- ▶ Poor financial control
- ▶ Poor location
- ▶ **Management mistakes**
- ▶ Improper inventory control

Question No:13

Which of the following is a fourth step in the entrepreneurial process?

- ▶ Developing successful business ideas
- ▶ Deciding to become an entrepreneur
- ▶ **Growing the entrepreneurial firm**
- ▶ Moving from an idea to an entrepreneurial firm

Question No:14

Which one of the following is NOT a phase of entrepreneurial process?

- ▶ Identification and evaluation of opportunity
- ▶ Development of business plan
- ▶ **Deciding to become an entrepreneur (page 13 and 14)**
- ▶ Determination of required resources

Question No:15

Which one of the following is not the entrepreneurial leadership characteristic?

- ▶ Understands environment
- ▶ Encourage the team work
- ▶ **Not flexible (page 20)**
- ▶ Persistent

Question No:16

Which of the following system is necessary for expansion or elimination of intrapreneurial units?

- ▶ **Management (page 19 and 20)**
- ▶ Evaluation
- ▶ Reward
- ▶ Training

Question No:17

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Which of the following factor does not affect a person for being an entrepreneur?

- ▶ **Nationality (page 24)**
- ▶ Education
- ▶ Personal values
- ▶ Work history

Question No:18

Professional support network includes all of the following EXCEPT:

- ▶ Personal affiliations
- ▶ Mentor
- ▶ Trade associations
- ▶ **Friends (Page No. 26)**

Question No:19

Following are the types of foreign direct investment EXCEPT:

- ▶ Joint venture
- ▶ **Management contracts (Page 31)**
- ▶ Minority interest
- ▶ Merger

Question No:20

Following are the types of non-equity arrangements EXCEPT:

- ▶ Licensing
- ▶ Management contracts
- ▶ **Direct export (Page 31)**
- ▶ Turnkey projects

Question No:21

According to which of the following, an entrepreneur is the person who brings resources, labor, materials and other assets into combinations that increase their value?

- ▶ **Economist (Page No. 4)**
- ▶ Psychologist
- ▶ Businessman
- ▶ Sociologist

Question No:22

Which of the following abilities must be possessed by an entrepreneur?

- ▶ Creative
- ▶ Conceptualization
- ▶ Understanding environment

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- ▶ All of the given options

Question No:23

Which of the following options can be very helpful to start-up new ventures?

- ▶ Seed Capital
- ▶ **Infrastructure**
- ▶ Technology
- ▶ Experience

Question No:24

According to Henning and Jardim, female executives tend to be the firstborn. Which of the following supports this research?

- ▶ Because firstborn has to be more responsible
- ▶ Because firstborn needs special care
- ▶ Because firstborn tends to be more flexible
- ▶ **Because firstborn receives special attention**

Question No:25

In terms of personality, there are strong similarities between men and women entrepreneurs. Which of the following does not refer to this statement?

- ▶ Both are energetic
- ▶ Both are goal oriented
- ▶ They want to be independent
- ▶ **Males are more confident than women (page 27)**

Question No:26

Which of the following businesses women entrepreneurs prefer to start?

- ▶ Manufacturing
- ▶ Construction
- ▶ **Educational services (page 10)**
- ▶ High-technology fields

Question No:27

“Paying for goods indirectly through another source” refers to:

- ▶ Barter
- ▶ Trading
- ▶ **Third-party arrangement (Page No. 36)**
- ▶ Balance of payment

Question No:28

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Which of the following best defines “diversified activity merger”?

- ▶ It refers to combining two firms with noncompeting products
- ▶ It refers to forming a third company by combining two companies
- ▶ **It refers to combining at least two totally unrelated firms (Page No. 32)**
- ▶ It refers to combining at least two firms at different market levels

Question No:29

Which of the following statements best defines “brainstorming”?

- ▶ It refers to groups of individuals providing in a structured format
- ▶ **It refers to a group method for obtaining new ideas and solutions (Page 40)**
- ▶ It refers to a method for obtaining new ideas and solutions by focusing on problems
- ▶ It refers to a method for obtaining new ideas focusing on the parameters

Question No:30

Identify the statement which refers to “licensing”.

- ▶ It grants holder protection from others making, using or selling similar idea
- ▶ It may be a word, symbol, design or some combination that identifies the source of certain goods
- ▶ It protects original works of authorship
- ▶ **It is a contractual agreement giving rights to others to use intellectual property in return for a royalty or fee (Page No. 53)**

Question No:31

Which of the following denote no relationship between the mark and the goods or services?

- ▶ **Coined marks Page No.49**
- ▶ Arbitrary marks
- ▶ Suggestive marks
- ▶ Descriptive marks

Question No:32

Which of the following trademarks is used to suggest certain features, qualities, ingredients or characteristics of a product or service?

- ▶ Coined mark
- ▶ Arbitrary mark
- ▶ **Suggestive mark Page No. 49**
- ▶ Descriptive mark

Question No:33

Data that support the opportunity for the venture should be briefly stated in the executive summary. If this venture is an internet business, all of the following facts should be stated by an entrepreneur EXCEPT:

- ▶ Growth in the number of internet users

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- ▶ Growth in the average amount of time spent on the internet
- ▶ Growth in sales dollars generated on the internet
- ▶ **Growth rate of population**

Question No:34

Which of the following make the business plan difficult to control and implement?

- ▶ **Too general goals and objectives**
- ▶ Too specific goals and objectives
- ▶ Realistic goals and objectives
- ▶ None of the given options

Question No:35

The level at which an individual is viewed by society is called:

- ▶ Financial status
- ▶ Qualification
- ▶ **Social status (Page 25)**
- ▶ Achievement

Question No:36

Which one of the following is the next stage to the Concept Stage of Product Planning and Development Process?

- ▶ Idea Stage
- ▶ Product Planning Stage
- ▶ **Product Development Stage (Page 43)**
- ▶ Test Marketing Stage

Question No:37

Which one of the following is NOT included in four C's evaluation by lender?

- ▶ Character
- ▶ Cost
- ▶ **Continuity**
- ▶ Contribution

Question No:38

Which of the following is NOT essential part of the contract?

- ▶ All the parties involved should be named
- ▶ Transaction should be described in detail
- ▶ Obtain signatures of the persons involved
- ▶ **Place where contract takes place**

Question No:39

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Which one of the following is the way by which an entrepreneur can enter into international business?

- ▶ Export
- ▶ Non equity arrangements
- ▶ Direct foreign investment
- ▶ **All of the given options (Page 30_31)**

Question No:40

The entrepreneur was distinguished from capital provider in:

- ▶ Middle ages
- ▶ **18th century (Page 3)**
- ▶ 17th century
- ▶ 19th and 20th century

Question No:41

Andrew Carnegie is an example of entrepreneur of which century:

- ▶ Earliest period
- ▶ **19th and 20th century (Page 3)**
- ▶ Middle ages
- ▶ 17th century

Question No:42

Which of the following two work environments should be good for spawning the new enterprises?

- ▶ Finance and marketing
- ▶ Finance and R&D
- ▶ Marketing and R&D
- ▶ Marketing and IT

Question No:43

Most of the finance for the new firm comes from following resources **EXCEPT**:

- ▶ Friends
- ▶ **Foreign aid**
- ▶ Relatives
- ▶ Personal savings

Question No:44

What is the process by which individuals pursue opportunities without regard to resources they currently control?

- ▶ Startup management
- ▶ **Entrepreneurship (page 11)**
- ▶ Financial analysis

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- ▶ Feasibility planning

Question No:45

Which one of the following is a firm that achieves modest growth?

- ▶ High potential growth firm
- ▶ Foundation firm
- ▶ Life style
- ▶ Public company

Question No:46

Which of the following factors is the most important in forcing U.S companies to focus on new product development and increased productivity?

- ▶ Entrepreneurship
- ▶ Hyper competition (Page 16)
- ▶ Governmental laws
- ▶ Organizational culture

Question No:47

Which of the following typical culture has a climate and reward system that favors conservative decision making?

- ▶ Entrepreneurial
- ▶ Intrapreneurial
- ▶ **Corporate (Page 18)**
- ▶ None of the given options

Question No:48

What takes place during the product-evolution process?

- ▶ **Innovation is developed and commercialized through entrepreneurial activity (Page 8)**
- ▶ The product/service is evaluated and any scope of further development is charted
- ▶ The business branches into separate units of development and marketing
- ▶ The product/service is evaluated to identify its global marketability

Question No:49

All the following qualities are requisites for an entrepreneur **Except:**

- ▶ Driven by perception of opportunity
- ▶ **Learning from business failure**
- ▶ Cognitive adaptability
- ▶ Effectuation

Question No:50

Which one of the following factor does not differ in motivating male and female entrepreneurs?

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► **Independence (Page 22)**

- Money
- Job satisfaction
- Opportunity

Question No:51

Female entrepreneurs differ from male entrepreneurs in terms of all of the following **EXCEPT**:

- Motivation
- Business skills
- Departure point
- Goal orientation (Page 27)

Question No:52

Which one of the following may need the business plan?

- Employees
- Investors
- Advisors
- **All of the given options (Page 54)**

Question No:53

Which of the following refers to new products with some technological change?

- Ordinary innovation
- Technological innovation
- **Breakthrough innovation (Page 5)**
- Technical innovation

Question No:54

Which of the following is/are known as barriers to new product creation and development?

- Trial and error
- **Opportunity parameters (Page 14)**
- Opportunity cost
- Intrapreneurial culture

Question No:55

According to research, when do the female entrepreneurs tend to start their first significant venture?

- In their mid 20s
- **In their mid 30s**
- In their mid 40s
- In their mid 50s

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Question No:56

Which of the following statements describes “International entrepreneurship”?

- ▶ **It is the process of an entrepreneur conducting business activities across national boundaries (Page 29)**
- ▶ It is the process of an entrepreneur conducting business activities within the national boundaries
- ▶ It is an innovative corporate management style that encourages employees within an organization to create new product ideas
- ▶ It is a business structure in which an individual and his company are considered a single entity for tax and liability purposes

Question No:57

Which of the following best describes the term “indirect exporting”?

- ▶ It refers to selling goods made in one country to another country
- ▶ It refers to buying and selling of commodities
- ▶ It refers to a commercial activity of buying and bringing in goods from a foreign country
- ▶ It refers to selling goods to another country through a person in the entrepreneur’s home country (pg34)

Question No:58

Identify the term which best describes the term “management contracts”?

- ▶ It refers to selling goods made in one country to another country
- ▶ It refers to buying and selling of commodities
- ▶ It is a commercial activity of buying and bringing in goods from a foreign country
- ▶ **It is method of doing specific international task**

Question No:59

Which of the following best defines “minority interest”?

- ▶ **It refers to having less than 50 percent ownership position (Page 36)**
- ▶ It refers to forming a third company by combining two companies
- ▶ It refers to having more than 50 percent ownership position
- ▶ It refers to selling goods made in one country to another country

Question No:60

In which of the following centuries the people of Malaysia peninsula were converted from Islam?

- ▶ 14th century
- ▶ **15th century**
- ▶ 16th century
- ▶ 17th century

Question No:61

Identify the statement which best defines “reverse brainstorming”.

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- ▶ It refers to groups of individuals providing in a structured format
- ▶ **It refers to a group method for obtaining new ideas focusing on the negative** Page 40
- ▶ It refers to a method for individuals to solve problems through one of four mechanisms
- ▶ It refers to a method for developing new ideas when the individuals are unaware of the problem

Question No:62

Identify the statement which best defines “checklist method”

- ▶ **It refers to developing a new idea through a list of related issues** (Page 41)
- ▶ It refers to a group method for obtaining new ideas focusing on the negative
- ▶ It refers to a method for individuals to solve problems through one of four mechanisms
- ▶ It refers to a method for developing new ideas when the individuals are unaware of the problem

Question No:63

Which one of the following is a method for obtaining new ideas and solutions by focusing on problems?

- ▶ **Problem inventory analysis** (Page 40)
- ▶ Gordon method
- ▶ Checklist method
- ▶ Scientific method

Question No:64

Which of the following statements best defines “forced relationship”?

- ▶ It refers to developing a new idea through a chain of word associations
- ▶ **It refers to developing a new idea by looking at product combinations** (Page 41)
- ▶ It refers to developing a new idea through inquiry and testing
- ▶ It refers to developing a new idea by evaluating the worth of aspects of ideas

Question No:65

How many major stages of “product planning and development process” are there?

- ▶ Four
- ▶ **Five** (Page 43)
- ▶ Six
- ▶ Seven

Question No:66

A design patent has a term of:

- ▶ 20 years
- ▶ **14 years** (Page 47)
- ▶ 10 years
- ▶ 40 years

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Question No:67

Lenders focus on four Cs of credit. Identify which of the following is NOT included in those four Cs.

- ▶ Character
- ▶ Cash flow
- ▶ Collateral
- ▶ **Code of ethics (Page 55)**

Question No:68

A typical inventor is usually _____.

- ▶ **Highly creative & in love with the invention**
- ▶ Does not encourage change
- ▶ Willing to modify the invention in order to augment commercial benefit
- ▶ None of the given options

Question No:69

Being one's own boss is a need of:

- ▶ **Independence**
- ▶ Achievement
- ▶ Affiliation
- ▶ Authority

Question No:70

The difference between the value of a country's imports and exports over time is called:

- ▶ Deficit exports
- ▶ Deficit imports
- ▶ **Balance of payment**
- ▶ Balance of debt

Question No:71

A/an _____ is an online connection between the company and its customers.

- ▶ Internet advertising
- ▶ **Website** page44
- ▶ E-Commerce
- ▶ World Wide Web

Question No:72

protection to owner from anyone else making, using and selling the identified innovation?

- ▶ **Utility patent**
- ▶ Design patent
- ▶ Plant patent

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- ▶ International patent

Question No:73

All of the following are essentials to maintain secrecy, EXCEPT:

- ▶ Train employees to refer sensitive questions to one person
- ▶ **Discuss business in public places**
- ▶ Provide escorts for all office visitors
- ▶ Use simple security such as locked file cabinets

Question No:74

Who should prepare the business plan?

- ▶ **Entrepreneurs**
- ▶ Consultants
- ▶ Engineers
- ▶ Small business administration services

Question No:75

Which of the following body issues patents?

- ▶ GATT
- ▶ NAFTA
- ▶ FTA
- ▶ **PTO**

Question No:76

The product life cycle starts with which stage of product planning and development process?

- ▶ Test marketing stage
- ▶ Product development stage
- ▶ Commercialization stage
- ▶ **Product planning and development process is a part of product life cycle p#45**

Question No:77

Developing a new idea through inquiry and testing is called:

- ▶ **Heuristics**
- ▶ Forced relationship
- ▶ Scientific method
- ▶ Value analysis

Question No:78

Which one of the following gives suggestions for new product and also help to market new products?

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- ▶ Existing products and services
- ▶ **Distribution channels**
- ▶ Federal government
- ▶ Consumers

Question No:79

Trade barriers cause:

- ▶ **Increase in cost**
- ▶ Decrease in cost
- ▶ Increase in profit
- ▶ None of the given options

Question No:80

A person who managed large project was termed as the entrepreneur in the _____.

- ▶ Earliest period
- ▶ **Middle ages**
- ▶ 17th century
- ▶ 19th and 20th century

Question No:81

Which of the following is **NOT** a potential cost of becoming an entrepreneur?

- ▶ **Financial reward**
- ▶ Long hours
- ▶ Financial insecurity
- ▶ Loneliness

Question No:82

Factors contribute to the creation of new venture **EXCEPT**:

- ▶ Government
- ▶ Finance
- ▶ **High interest rates**
- ▶ Role models

Question No:83

Most of the finance for the new firm comes from following resources **EXCEPT**:

- ▶ Friends
- ▶ **Foreign aid**
- ▶ Relatives

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- ▶ Personal savings

Question No:84

Which of the following is **NOT** included in the opportunity evaluation process?

- ▶ Length of the opportunity
- ▶ Real and perceived value of opportunity
- ▶ **Goals and objectives of customers**
- ▶ Risks and rewards of opportunity

Question No:85

The difference of the entrepreneurial and managerial domains has contributed towards an increase interest in which of the following?

- ▶ Forming new firms
- ▶ Partnership
- ▶ **Intrapreneurship**
- ▶ Private firms

Question No:86

Which is the most common cause of business failure?

- ▶ **Insufficient capital**
- ▶ Unstable market
- ▶ Insufficient experience
- ▶ Poor entrepreneurship

Question No:87

In which one of the following countries the entrepreneurial success has been significant because of the culture, the political and economic systems?

- ▶ European countries
- ▶ **Asian countries**
- ▶ Far East countries
- ▶ Middle East countries

Question No:88

Moral support network includes all of the following **EXCEPT**:

- ▶ Spouses
- ▶ Friends
- ▶ **Business associates**
- ▶ Relatives

Question No:89

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Professional support network includes all of the following **EXCEPT**:

- ▶ Personal affiliations
- ▶ Mentor
- ▶ Trade associations
- ▶ **Friends**

Question No:89

The former USSR received technology and syrup from Pepsi and provided it with Soviet vodka and rights to distribute it in the US. This is an example of:

- ▶ Economic development
- ▶ **Barter system**
- ▶ Balance of payment
- ▶ International trade

Question No:90

_____ is prepared on the bases of levels of the internal structure of the business.

- ▶ **Organizational Plan**
- ▶ Production Plan
- ▶ Marketing Plan
- ▶ Financial Plan

Question No:91

Which of the following is NOT a guiding principle in a traditional corporate culture?

- ▶ Follow given instructions
- ▶ **Take responsibility and ownership**
- ▶ Do not take initiative
- ▶ Do not make mistakes

Question No:92

In order to minimize the negative effect of any disruption in an organization, which of the following characteristics an intrapreneur must possess?

- ▶ **He should be diplomatic**
- ▶ He should be conservative
- ▶ He should be autocratic
- ▶ He should be authoritative

Question No:93

Which of the following best defines “horizontal merger”?

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- ▶ **It refers to combining at least two firms doing similar businesses at the same market level**
- ▶ It refers to forming a third company by combining two companies
- ▶ It refers to having more than 50 percent ownership position
- ▶ It refers to combining at least two firms at different market levels

Question No:94

Which of the following is an example of rising number of women entrepreneurs in China?

- ▶ **Guau Guarymei**
- ▶ Wataru Ohashi
- ▶ Kazuhiko Nishi
- ▶ Li Ka-Shing

Question No:95

Which of the following best describes “contract”?

- ▶ **It refers to a legally binding agreement between two parties**
- ▶ It grants holder protection from others making, using or selling similar idea
- ▶ It may be a word, symbol, design or some combination that identifies the source of certain goods
- ▶ It refers to a legal document giving official permission to do something

Question No:96

Which of the following is the title or cover page that provides a brief summary of the business plan’s content?

- ▶ **Introductory page 57**
- ▶ Executive summary
- ▶ Environmental and industry analysis
- ▶ Description of venture

Question No:97

Which of the following statement is true for entrepreneurship?

- ▶ **Entrepreneurship is the dynamic process of creating incremental wealth (PAGE 4)**
- ▶ Entrepreneurship involves the management process
- ▶ Entrepreneurship does not require the devotion of the necessary time and effort
- ▶ Entrepreneurship involves assuming the necessary financing

Question No:98

The skills required by entrepreneurs can be classified into three main areas, one of which is:

- ▶ Being innovative
- ▶ **Personal entrepreneurial skills (PAGE 11)**
- ▶ Social skill
- ▶ None of the mentioned options

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Question No:99

The entrepreneur employs a flat organizational structure with:

- ▶ Which is hierarchical in nature?
- ▶ Which is formalized?
- ▶ **Informal networks (PAGE 15)**
- ▶ None of the mentioned options

Question No:100

Following leadership characteristics constitute a successful intrapreneur, except:

- ▶ Visionary and flexible
- ▶ Creates management options
- ▶ **Train employees as well as share their experiences (PAGE 20)**
- ▶ Persists

Question No:101

An opportunity assessment plan should focus on the opportunity and provide the basis to make the decision, and:

- ▶ A description of the product or service
- ▶ An assessment of the opportunity
- ▶ Assessment of the entrepreneur and the team
- ▶ **All of the mentioned options (PAGE 13)**

Question No:102

One of the factors making it desirable to create a new venture is:

- ▶ The Government
- ▶ **Teachers (PAGE 6)**
- ▶ Availability of financial resources
- ▶ None of the mentioned options

Question No:103

Some of the more frequently used ideas for new entrepreneur include:

- ▶ Consumers
- ▶ Existing companies
- ▶ Distribution channels
- ▶ **All of the mentioned options (PAGE 38)**

Question No:104

Personal entrepreneurial skills differentiate an entrepreneur from a manager and include

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- ▶ Inner control (discipline)
- ▶ Risk taking
- ▶ Innovativeness
- ▶ **All of the mentioned options** (PAGE 11)

Question No:105

The product planning and development process – is divided into five major stages. Which of the following is not a stage of this process?

- ▶ Idea stage
- ▶ Concept stage
- ▶ **Production stage** (PAGE 43)
- ▶ Product development stage

Question No:106

One of the factors making it possible to create a new venture is:

- ▶ **The Government** (PAGE 6)
- ▶ Teachers
- ▶ Peers
- ▶ None of the mentioned options

Question No:107

International entrepreneur's decisions are more complex because of:

- ▶ Business expansion
- ▶ Analysis of Huge information is difficult
- ▶ Complex transactions
- ▶ **Uncontrollable factors**

Question No:108

Which one of the following is a business arrangement in which someone else is allowed to use something of the company?

- ▶ Patent
- ▶ Trade mark
- ▶ Copy right
- ▶ **Licensing**

Question No:109

Which one of the following is a process of selling goods to other countries?

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- ▶ Non equity arrangements
- ▶ Management contracts
- ▶ **Exporting**
- ▶ Direct foreign investment

Question No:110

Which one of the following is important for international business to avoid trade barriers?

- ▶ Protectionist attitude
- ▶ Entrepreneurial partnering
- ▶ Free trade areas
- ▶ **None of the given options**

Question No:111

Which one of the following is an important source of idea generation due to their familiarity with the needs of market?

- ▶ Existing products and services
- ▶ **Distribution channels**
- ▶ Federal government
- ▶ Consumers

Question No:112

Which one of the following insurance is compulsory for companies according to law?

- ▶ Life insurance
- ▶ Property insurance
- ▶ **Disability and vehicle coverage 52**
- ▶ Health care coverage

Question No:113

Health insurance premium is less expensive if there is:

- ▶ One insured participants
- ▶ Ten participants
- ▶ **Large group of participants**
- ▶ Very small group of participants

Question No:114

Which one of the following protects continuity of the business(specially in partnership)?

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- ▶ Property insurance
- ▶ Casualty insurance
- ▶ Life insurance
- ▶ **Bonding**

Question No:115

Which one of the following is NOT an external factor?

- ▶ New regulations
- ▶ Competition
- ▶ Social changes
- ▶ **Manufacturing**

Question No:116

How many perspectives should be considered while preparing business plan?

- ▶ One
- ▶ **Three**
- ▶ Four
- ▶ Not specific

Question No:117

Which of the following is included in the description of the business?

- ▶ Location
- ▶ Products offered
- ▶ History
- ▶ **All of the given options**

Question No:118

In which of the following stage idea of new product is tested to determine consumer acceptance?

- ▶ **Concept stage**
- ▶ Product development stage
- ▶ Test marketing stage
- ▶ Commercialization stage

Question No:119

Having less than 50 percent of equity share in an international venture is called:

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- ▶ **Minority interest**
- ▶ Joint venture
- ▶ Majority interest
- ▶ Exporting

Question No:120

Having more than 50% ownership position that provides the entrepreneur with managerial control is called:

- ▶ Joint venture
- ▶ **Majority interest**
- ▶ Horizontal merger
- ▶ Diversified activity merger

Question No:121

Which of the following is a method of selling goods to another country through a person in the entrepreneur's home country?

- ▶ Trading
- ▶ Direct export
- ▶ **Indirect export**
- ▶ Domestic sales

Question No:122

In which of the following entrepreneur was known as an innovator?

- ▶ Earliest period
- ▶ Middle ages
- ▶ 17th century
- ▶ **20th century**

Question No:123

In which of the following era entrepreneur enters into a contract with government to perform a service?

- ▶ 20th century
- ▶ Earliest period
- ▶ Middle ages
- ▶ **17th century**

Question No:124

Which of the following are the Fast-growth young companies?

- ▶ **Gazelles manual**
- ▶ Life style

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- ▶ Foundation Company
- ▶ None of the given options

Question No:125

Which one of the following is the first step in the entrepreneurial process?

- ▶ **Deciding to become an entrepreneur**
- ▶ Growing the entrepreneurial firm
- ▶ Moving from an idea to an entrepreneurial firm
- ▶ Developing successful business ideas

Question No:125

The resistance of employees in an organization against flexibility, growth, and diversification can be overcome by developing which of the following?

- ▶ Entrepreneurship
- ▶ **Intrapreneurship**
- ▶ Managerial domain
- ▶ Administrative domain

Question No:126

Which of the following factor has allowed small companies to act like they are big ones?

- ▶ **Technology**
- ▶ Customers
- ▶ Economic development
- ▶ Competition

Question No:127

Which of the following is very important to develop a good team for creating something new?

- ▶ Nepotism
- ▶ **Open discussion**
- ▶ Non flexible behavior
- ▶ Discouragement of team member's ideas

Question No:128

Why is the evaluation of an opportunity the most critical element of the entrepreneurial process?

- ▶ It helps the entrepreneur in developing a good business plan
- ▶ **It enables the entrepreneur to judge the market and the competition**
- ▶ It allows the entrepreneur to compare the prospective returns and the resources needed
- ▶ It helps develop the opportunity assessment plan

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Question No:129

A set of reasons for engaging in a particular behavior, especially human behavior is known as which of the following?

- ▶ Values
- ▶ Vision
- ▶ Entrepreneurship
- ▶ **Motivation**

Question No:130

Which of the following areas are preferred by women entrepreneurs?

- ▶ **Administration**
- ▶ Utilities
- ▶ Manufacturing
- ▶ None of the above

Question No:131

Degree of influence and control on other people is called:

- ▶ **Locus of control**
- ▶ Locomotion of control
- ▶ Locust of control
- ▶ Loss of control

Question No:132

An individual's need to be recognized is called:

- ▶ Need for independence
- ▶ Need for affiliation
- ▶ Need of fame
- ▶ **Need for achievement**

Question No:133

There is an evidence that an entrepreneur usually has _____ parents.

- ▶ **Self employed**
- ▶ Discouraged
- ▶ Non supportive
- ▶ Strict

Question No:134

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Which one of the following is NOT an internal factor?

- ▶ **New technology**
- ▶ Manufacturing
- ▶ Marketing
- ▶ Personnel

Question No:135

Entrepreneur is the person who is

- ▶ Initiator
- ▶ Actor
- ▶ Risk taker
- ▶ **All of the given option**

Question No:136

The decision to start new business when one perceives that forming new business is

- ▶ **Possible**
- ▶ Undeceive
- ▶ Inaccurate
- ▶ Dependable

Question No:137

Gazelles are the firms with:

- ▶ **High growth rate**
- ▶ Moderate growth rate
- ▶ Zero growth rate
- ▶ Low growth rate

Question No:138

Which of the following makes the formation of new venture difficult within a corporate culture?

- ▶ Lack of intrapreneurial talent
- ▶ **Lack of freedom to make autonomous decisions**
- ▶ Lack of market opportunity
- ▶ All of the given options

Question No:139

Which of the following factor does not affect a person for being an entrepreneur?

- ▶ **Nationality**
- ▶ Education

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- ▶ Personal values
- ▶ Work history

Question No:140

Female entrepreneurs differ from male entrepreneurs in terms of all of the following EXCEPT:

- ▶ Motivation
- ▶ Business skills
- ▶ **Departure point**
- ▶ Goal orientation

Question No:141

It has been observed that usually the entire country is organized under single:

- ▶ **Economic system**
- ▶ Culture
- ▶ Living standard
- ▶ Legal environment

Question No:142

Which of the following is NOT an important aspect of International success?

- ▶ Planning
- ▶ **Diversification**
- ▶ Reporting
- ▶ Control

Question No:143

Identify the reason when The entrepreneur was distinguished from capital provider in 18Th century due to

- ▶ Technological advancement
- ▶ Recession
- ▶ Economic crisis
- ▶ **Insufficient capital**

Question No:144

Which of the following options can be very helpful to start-up new ventures?

- ▶ **Seed Capital**
- ▶ Infrastructure
- ▶ Technology
- ▶ Experience

Question No:145

Which of the following best describes “industry analysis”?

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- ▶ It is an assessment of external uncontrollable variables that may impact the business plan
- ▶ **It reviews industry trends and competitive strategies**
- ▶ It refers to the assessment of a business to deal with the planning, budgeting, monitoring, forecasting and improving of all financial details within an organization
- ▶ It is the process by which companies determine what products or services may be of customers' interest

Question No:146

Which of the following make the business plan difficult to control and implement?

- ▶ **Too general goals and objectives**
- ▶ Too specific goals and objectives
- ▶ Realistic goals and objectives
- ▶ None of the given options

Question No:147

Which of the followings is NOT followed in brainstorming?

- ▶ **Criticism is done by the group members**
- ▶ The wilder idea is better
- ▶ Quantity of ideas is required
- ▶ The session should be fun, with no one dominating the discussion

Question No:148

Without **Top Management**, the organization will never be able to make the necessary changes.

Question No:149

Technological innovations refer to new products with significant technological advancements

▶ **TRUE (PAGE 8)**

▶ FALSE

Question No:150

The **Venture Capitalist** is a professional money manager who makes risk investments from pool and equity capital to obtain a high rate of return on investment.

▶ **TRUE (page 3)**

▶ FALSE

Question No:151

The entrepreneur must be able to put forth the necessary **Time and effort** required for the venture to succeed.

▶ **True (page 13)**

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► False

Question No:152

In **Product Development** stage, consumer reaction is determined, often through a consumer panel.

► True (page 43)

► False

Q= what is trademark ? what are its categories? 5

Page 49

Q= Elaborate situation of entrepreneur in far east ? 5

page 37

Q=what is meant by majority interest? And its purpose to serve ? 3

page 33

Q=Briefly explain business method patent with example? 3

page 46

4) Problem Inventory Analysis Techniques. (5 Marks)

page 40

Question No: 35 (Marks: 3)

Describe any three issues that should be addressed in executive summary.

page 57

Question No: 36 (Marks: 5)

Briefly discuss the status of entrepreneurship in Europe.

page 37

Question No: 37 (Marks: 5)

Discuss what kind of information should be mentioned in “description of venture” section of a business plan.

page 57

Question No: 35 (Marks: 3)

Briefly discuss licensing and its benefits.

Answer(page 31)

Question No: 36 (Marks: 5)

What is a business plan and what purpose does it serve?

Answer(page 54)

Question No: 37 (Marks: 5)

Discuss the role of “export management firm” in indirect exporting.

Answer(page 30)

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Question No: 35 (Marks: 3)

How the business plan is presented to potential investors?

Answer(page57)The description of the venture

Question No: 36 (Marks: 5)

Which factors should be studied by entrepreneur to conduct environmental analysis while preparing a business plan? Explain the factors.

Answer(page57)

Question No: 37 (Marks: 5)

While entering into the international market the companies usually have strategic planning process.

What should be considered in the strategic planning?

Strategic Planning offers ideas on how to match the organization's design to its products and capabilities, goals and resources. This process is much easier to execute once you have obtained a basic knowledge of exporting value-added food products, understand the marketing research process, and analyzed the elements of the marketing mix. Proper organization, both internally and externally, allow the firm to become more efficient in its operations and expansion.

After the information the first step in building a successful export strategy is determining the firm's readiness to export. The following are guidelines on preparing an export business plan, developing export marketing skills, designing a template for an export marketing plan and considering marketing tools prior to engaging directly in promotional activities.

Question No: 41 (Marks: 5)

Discuss the 'age' factor as an important characteristic of entrepreneurs.